

banks, are *not* protected by federal deposit insurance. That means you *can* lose money with a mutual fund. Bank salespeople, who like to call themselves “financial counselors,” are supposed to explain this; they sometimes forget.

As a rule, you’re almost certainly better off buying mutual funds directly from low-cost mutual fund companies than from banks, because most banks offer limited choices and charge commissions. So skip the investments at the bank no matter how persuasive the salesperson is. Chapter 5 will tell you all about working with low-cost mutual fund companies.

WHY IT PAYS TO KNOW YOUR BANK MANAGER

You don’t have to present your bank manager with a shiny apple each time you visit, but it’s a good idea to get acquainted. You can simply say that you’ve signed on as a customer and wanted to introduce yourself. If you think this sounds a little weird, invent a reason—ask about loan choices or something. The point is to make sure the manager recognizes your face. It may even make sense to add your bank manager to your holiday card list. If you ever have a problem, it can really help to have someone at the bank who knows you as more than just another multidigit account number. And if you ever encounter an outrageous fee, don’t hesitate to speak up. When a friend of mine was charged \$30 for two certified checks—an amount he felt was too high—he protested to the bank manager, who waived the fee. The fact is bank managers often forgive fees for customers who complain, especially customers who have clean banking records. And if you’re penalized for something you had no control over—like unknowingly depositing a bad check—you should definitely talk to the bank manager; he or she may be willing to give you a refund.

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